there is little evidence of a robust unconditional effect of aid on growth.

Before going further, let me say that the word 'effect' implies causality. This is different from correlation. It is possible to find in the data a negative correlation between aid and economic growth, but this doesn't mean that more aid causes less growth. For instance, if aid tends to go to countries that are doing badly, you would get aid and growth being negatively correlated even though aid does not cause poor growth: the direction of causation is the reverse. This is why economists use a technique called instrumental variables analysis to tell causality from simple correlation. In recent papers that I have written with Arvind Subramanian of the IMF's Research Department, we describe how we found a negative correlation between aid and growth when we did not use instrumental variables, but how this essentially disappeared once we used the technique (Rajan and Subramanian 2005 a and b). This means that aid sceptics may have been mistaken in viewing negative correlations found in the past as supporting their view. But unfortunately, we don't find a robust, significant positive correlation either.

Does this mean that aid cannot, in any circumstances, boost growth? Of course not! The layperson's thinking does, of course, have some significant basis. Poor countries are short of resources and ought to be able to put aid inflows to good use. There are case studies of countries that have grown using aid, and specific aid projects that have helped the poor enormously. What we economists have not identified is a reliable set of economic circumstances in which we can say that aid has helped countries grow. And this is not for want of trying.

For example, an influential study suggested that aid leads to growth, but only in countries that have good governance (Burnside